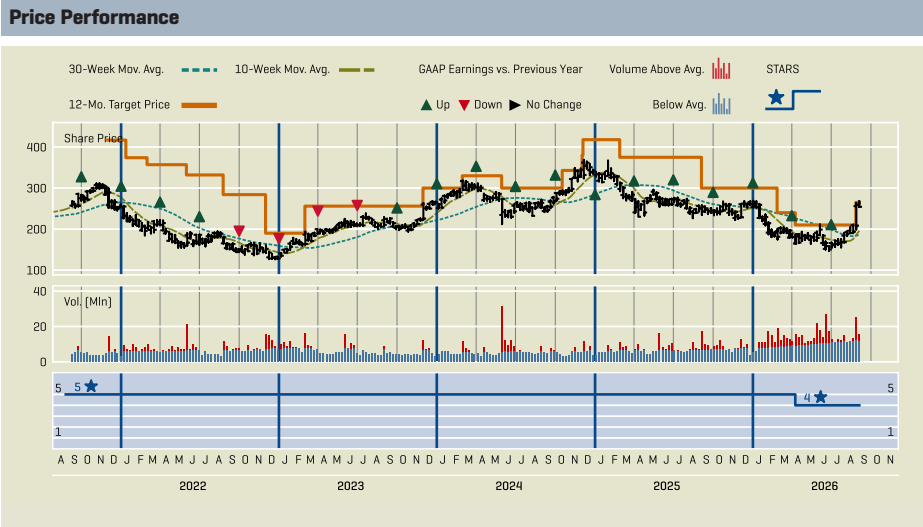


Recommendation	BUY	★ ★ ★ ★ ★	Price USD 259.23 (as of market close Sep 04, 2026)	12-Mo. Target Price USD 265.00	Report Currency USD	Investment Style Large-Cap Blend

Equity Analyst **Angelo Zino, CFA**

GICS Sector Information Technology Sub-Industry Application Software	Summary Salesforce Inc. [SF; ticker: CRM] is the largest provider of Customer Relationship Management [CRM] software and an early evangelist of Software-as-a-Service [SaaS].

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 269.11 - 146.32	Oper.EPS2027E	USD 16.71	Market Capitalization[B]	USD 217.63	Beta	1.20		
Trailing 12-Month EPS	USD 16.84	Oper.EPS2028E	USD 15.40	Yield [%]	0.67	3-yr Proj. EPS CAGR[%]	11		
Trailing 12-Month P/E	15.39	P/E on Oper.EPS2027E	15.51	Dividend Rate/Share	USD 1.76	SPGMI's Quality Ranking	B		
USD 10K Invested 5 Yrs Ago	10,184.0	Common Shares Outstg.[M]	823.00	Trailing 12-Month Dividend	USD 1.71	Institutional Ownership [%]	47.0		



Source: CFRA, S&P Global Market Intelligence

Past performance is not an indication of future performance and should not be relied upon as such.

Analysis prepared by **Angelo Zino, CFA** on Aug 27, 2026 12:26 AM ET, when the stock traded at **USD 234.54**.

- Highlights**
- We project revenue growth of 11% in FY 27 [Jan.] and 9.3% in FY 28. Jul-Q revenue of \$11.35B grew 11% Y/Y, on the back of Slack and Agentforce momentum. Agentforce ARR reached \$1.5B in Jul-Q [up from \$1.2B in Apr-Q], with combined AI and Data ARR approaching \$4B. The platform delivered 3.2B Agentic Work Units (+97% Q/Q), demonstrating accelerating adoption. Claudeforce partnership with Anthropic integrates Claude's reasoning with Salesforce's platform. Slack posted the fastest quarterly net new AOV growth since acquisition. CRM raised FY 27 revenue guidance by ~\$300M.
 - Non-GAAP operating margin reached 34.1% in Jul-Q, targeting high-30% to 40% by FY 30. AI-driven productivity gains are tangible: Slackbot generates 8.1M hours of annualized productivity gains [+100% Q/Q]. CRM's help agents resolved 64% of 5M customer conversations autonomously. Data 360 ingested 112T records [+114% Y/Y], demonstrating substantial processing scale.
 - Operating cash flow reached \$15.0B [+15% Y/Y] and FCF reached \$14.4B [+16% Y/Y]. We raise our FY 27 EPS view to \$16.71 from \$14.09 and FY 28 to \$15.40 from \$15.18. The \$25B debt-financed share repurchase drove the diluted share count decline to 821M from 962M Y/Y [-14.7%].

- Investment Rationale/Risk**
- Our Buy view reflects CRM's successful pivot to the 'Agentic Enterprise' model. We are encouraged by Agentforce's continued scaling, with Agentic Work Units growing 97% Q/Q, demonstrating tangible customer adoption beyond just bookings metrics. CRPO grew 14% in constant currency, providing solid revenue visibility, and indicating the core business remains healthy. Claudeforce — jointly developed with Anthropic that combines Claude's reasoning capabilities with CRM's data, application, and governance layers — will help strengthen CRM's competitive moat and expand its AI monetization surface while helping to mitigate SaaS apocalypse fears.
 - Risks include execution challenges from consumption-based pricing introducing revenue volatility. Rapid leverage increase reduces financial flexibility, with Moody's downgrading to A2 and S&P negative outlook. SaaS headwinds persist, including seat growth pressures and increasing competition from AI enterprise tools. Claudeforce partnership introduces integration risks.
 - Our target price of \$265 [up from \$210] uses 15x our CY 28 EPS view of \$17.50, a deep discount to SF's historical averages of 23x and 30x. Our DCF assumes 7.8% WACC, 1.1 beta, and 3% terminal value.

Analyst's Risk Assessment		
LOW	MEDIUM	HIGH

Our risk assessment reflects CRM's market share and innovation leadership in SaaS/cloud computing, as well as the greater revenue stability and visibility of its subscription-based, recurring revenue model and the relative customer stickiness of its offerings. This is somewhat offset by the highly competitive and rapidly evolving nature of the enterprise application software market.

Revenue/Earnings Data					
Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2028	E 12,136	E 12,381	E 12,484	E 13,393	E 50,394
2027	11,133	11,345	E 11,402	E 12,243	E 46,123
2026	9,829	10,236	10,259	11,201	41,525
2025	9,133	9,325	9,444	9,993	37,895
2024	8,247	8,603	8,720	9,287	34,857
2023	7,411	7,720	7,837	8,384	31,352

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2028	E 3.66	E 3.74	E 3.81	E 4.18	E 15.40
2027	3.88	5.90	E 3.43	E 3.50	E 16.71
2026	2.58	2.91	3.25	3.81	12.52
2025	2.44	2.56	2.41	2.78	10.20
2024	1.69	2.12	2.11	2.29	8.22
2023	0.98	1.19	1.40	1.68	5.24

Fiscal Year ended Jan 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data				
Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.4400	May 28	Jun 11	Jun 11	Jul 02 '26
0.4400	Feb 23	Apr 09	Apr 09	Apr 23 '26
0.4160	Dec 04	Dec 18	Dec 18	Jan 08 '26
0.4160	Sep 04	Sep 17	Sep 17	Oct 09 '25

Dividends have been paid since 2024 . Source: Company reports

Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance.

Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Business Summary Aug 27, 2026

Corporate Overview. Salesforce Inc. (SF*) was among the earliest pioneers of Software-as-a-Service (SaaS), the first successful type of modern “cloud computing,” with co-founder and CEO, Marc Benioff, serving as the loudest, most unapologetic evangelist for the SaaS/cloud model.

SF was founded in 1999, during the second half of the client-server era, when software companies sold licenses, upgrades, and maintenance contracts for “on-prem” software installed and run on customers’ own servers and clients, usually Windows PCs. In contrast, SaaS providers like SF run the application on their own servers. Customers access that application over the Internet via a web browser, paying for it as a subscription, usually on a per-user/unit-time basis. The value proposition for SaaS vs. the on-prem/client-server approach was powerful and multi-faceted: 1) lower, less lumpy, more predictable cost-of-ownership; 2) much faster initial deployment with easy free trials that even an individual could initiate with a credit card swipe; 3) a web interface modeled after Amazon.com that was familiar to pretty much everybody by the year 2000, reducing training and support time/cost; 4) reduced IT infrastructure which, increasingly, adds little or no competitive differentiation for the customer; 5) easy access from any device with a browser; and 6) rapid scale-up and scale-down capability, thus better matching payment to usage.

True to its name, SF focused from the get-go on Sales Force Automation (SFA), the largest subset under the Customer Relationship Management (CRM) application category. At the time, however, the terms CRM and SFA were used interchangeably. SF used the SaaS value proposition to disrupt and take share from incumbent client-server era vendors, starting with SMBs and working up into the F500 via adoption by individual salespeople who did not like using the more cumbersome legacy solutions from the likes of Oracle or SAP. SF’s flagship SFA offering, now called Sales Cloud, singularly drove the rapid growth of SF’s first decade and remains the largest “cloud.” In 2012, SF hit #1 in market share in both SFA and CRM, even as CRM sub-segments other than SFA began to emerge in areas such as customer service, marketing, e-commerce, etc.

SF derives its revenues from two sources: 1) subscription and support revenues (about 95% of sales), and 2) professional services and other revenues. Subscription and support revenues include subscription fees from customers accessing enterprise cloud computing services, software license revenues from the sales of term and perpetual licenses, and support revenues. Cloud Services allow customers to use multi-tenant software without taking possession of the software. Revenue is recognized over the contract term, but revenues from software licenses are generally recognized at a point-in-time (less than 10% of sales).

To reflect the evolution of its product architecture to deliver the Agentic Enterprise, and consistent with how management evaluates the performance of the business, CRM revised the presentation of its disaggregated revenue disclosures in the first quarter of FY 27 into two primary categories: 1) Agentforce Apps, and 2) Data 360, Headless Platform, & Other. Agentforce Apps is comprised of Agentforce Sales, Agentforce Service, Agentforce Marketing, Agentforce Commerce, Agentforce Apps Flex Credits, and Slack. Data 360, Headless Platform, & Other is comprised of Data 360, Data 360 and Platform Flex Credits, Headless Platform, Informatica, Agentforce Mulesoft, Agentforce Tableau, and Other.

Impact of Major Developments. In November 2025, SF completed its acquisition of Informatica, a leader in enterprise AI-powered cloud data management, for \$8B in equity value or \$25 in cash per share. SF is believed to have beaten out other interested parties, including Cloud Software Group (formerly Citrix Systems) and Thoma Bravo. We view the acquisition as highly complementary and intended to support SF’s strong push into the agentic AI space. INFA helps companies manage their data, with a focus on privacy, governance, and quality, allowing enterprises to better analyze the data they collect. SF specializes in customer relationship management and has significant data for the largest companies in the world. We also note that SF acquired Slack in 2021 for \$28B, Tableau in 2019 (\$15B), and MuleSoft in 2018 (\$6.5B).

Concurrent with its Q2 FY 27 (Jan.) earnings release on August 26, 2026, SF announced Claudeforce — a jointly developed product with Anthropic, combining Anthropic’s Claude AI model with Salesforce’s CRM platform, data layer, and agentic infrastructure. Claudeforce is designed to deliver a dynamic, deeply personalized natural-language interface on top of SF’s core systems, allowing knowledge workers to query, reason across, and act on Salesforce data and workflows through SF’s new AI harness, AI Force. The product is expected to reach general availability (GA) in September 2026 and will be accessible to customers who upgrade to SF’s premium editions. SF also announced acquisitions of Contentful (content management) and Fin (AI-native customer support).

Financial Trends. Annual revenue has grown from \$4.1B in FY 14 to \$41.5B in FY 26. Over the same period, GAAP/pro-forma net income rose from -\$232M/+ \$222M to \$7.5B/\$12B. In contrast to the lumpier, upgrade-cycle-driven business model of traditional software, SF’s subscription-based SaaS model provides more stability, predictability, and forward-looking transparency. With most revenue booked upfront, it becomes difficult for a SaaS company the size of SF to “miss” revenue expectations. Of course, investors now pay more attention to other, more forward-looking indicators and value SF increasingly on those metrics.

*Note: We use SF as a shorthand vs. the ticker “CRM” to avoid confusion with the Customer Relationship Management or “CRM” market segment.

Corporate information

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President & Chief People Officer

N. Scardino

Senior Vice President of Technology

A. White

President & COO

M. Milano

President & Chief Revenue Officer

A. Vignone

President, Chief Operating & Financial Officer and Director

R. L. Washington

President & Chief Platform and Engineering Officer

R. Kumar

Co-Founder, Chairman & CEO

M. R. Benioff

Chief Accounting Officer

G. Wanger

President, Chief Legal Officer & Corporate Secretary

S. V. Niles

President & Chief Marketing Officer

E. Oles

Board Members

A. Bhattacharya

A. L. Chang

A. N. Liveris

A. W. Donald

C. A. Conway

D. B. Kirk

D. N. Wenig

G. M. Morfit

G. Pepy

G. V. Sheldon

H. B. Foulkes

H. Kruger

M. G. Webb

M. R. Benioff

M. T. Bertolini

D. Munoz

P. Harris

R. Cline-Thomas

R. L. Washington

S. Mehra

Domicile

Delaware

Auditor

Ernst & Young LLP

Founded

1999

Employees

83,334

Stockholders

N/A



Salesforce, Inc.

Quantitative Evaluations						
Fair Value Rank		1	2	3	4	5
		LOWEST		HIGHEST		
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).				
Fair Value Calculation	USD 273.61	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that CRM is undervalued by USD 14.38 or 5.55%				
Volatility		LOW		AVERAGE		HIGH
Technical Evaluation	NEUTRAL	Since September, 2026, the technical indicators for CRM have been NEUTRAL"				
Insider Activity		UNFAVORABLE		NEUTRAL		FAVORABLE

Expanded Ratio Analysis				
	2026	2025	2024	2023
Price/Sales	4.89	8.78	7.94	5.34
Price/EBITDA	16.17	29.87	27.78	29.67
Price/Pretax Income	21.32	44.75	55.88	253.74
P/E Ratio	16.96	33.50	34.20	32.06
Avg. Diluted Shares Outstg. [M]	956.00	974.00	984.00	997.00
Figures based on fiscal year-end price				

Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		20.33	229.74	12.86
Sales		9.58	9.82	14.34
Ratio Analysis [Annual Avg.]				
Net Margin [%]		17.96	15.39	10.46
% LT Debt to Capitalization		13.58	12.20	12.82
Return on Equity [%]		12.40	9.89	6.58

Company Financials Fiscal year ending Jan 31										
Per Share Data [USD]	2026	2025	2024	2023	2022	2021	2020	2019	2018	2017
Tangible Book Value	-6.04	5.68	5.92	2.72	1.23	12.04	4.51	0.33	2.86	-1.50
Free Cash Flow	15.16	12.93	9.75	6.36	5.53	4.51	4.45	3.73	3.08	2.47
Earnings	7.80	6.36	4.20	0.21	1.48	4.38	0.15	1.43	0.49	0.46
Earnings [Normalized]	12.52	10.20	8.22	5.24	4.78	4.92	2.99	2.75	1.35	1.01
Dividends	1.66	1.60	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio [%]	21.28	24.80	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High	349.50	369.00	289.29	234.49	311.75	284.50	186.44	161.19	114.52	84.48
Prices: Low	208.78	212.00	159.66	126.34	201.51	115.29	137.87	102.37	77.45	52.60
P/E Ratio: High	27.90	36.20	35.20	44.80	65.20	57.80	62.40	58.60	84.80	83.60
P/E Ratio: Low	16.70	20.80	19.40	24.10	42.20	23.40	46.10	37.20	57.40	52.10
Income Statement Analysis [Million USD]										
Revenue	41,525	37,895	34,857	31,352	26,492	21,252	17,098	13,282	10,540	8,437
Operating Income	8,917	7,666	5,999	1,858	548.00	455.00	463.00	535.00	454.00	218.00
Depreciation + Amortization	3,631	3,477	3,959	3,786	3,298	2,846	2,135	982.00	784.00	632.00
Interest Expense	349.00	300.00	312.00	310.00	N/A	110.00	N/A	N/A	N/A	89.00
Pretax Income	9,520	7,438	4,950	660.00	1,532	2,561	706.00	983.00	420.00	179.00
Effective Tax Rate	21.70	16.70	16.40	68.50	5.70	-59.00	82.20	-12.90	14.30	-80.40
Net Income	7,457	6,197	4,136	208.00	1,444	4,072	126.00	1,110	360.00	323.00
Net Income [Normalized]	5,681	5,013	3,884	1,079	200.60	244.40	278.10	275.60	251.20	92.50
Balance Sheet and Other Financial Data [Million USD]										
Cash	9,565	14,032	14,194	12,508	10,537	11,966	7,947	4,342	4,521	2,209
Current Assets	28,222	29,727	29,074	26,395	22,850	21,889	15,963	10,683	9,584	5,997
Total Assets	112,305	102,928	99,823	98,849	95,209	66,301	55,126	30,737	21,984	17,585
Current Liabilities	37,118	27,980	26,631	25,891	21,788	17,728	14,845	11,255	10,067	7,295
Long Term Debt	10,439	8,433	8,427	9,419	10,592	2,673	2,673	3,173	695.00	2,008
Total Capital	76,853	73,243	73,208	73,238	72,501	47,906	40,142	19,184	12,096	10,292
Capital Expenditures	594.00	658.00	736.00	798.00	717.00	710.00	643.00	595.00	534.00	464.00
Cash from Operations	14,996	13,092	10,234	7,111	6,000	4,801	4,331	3,398	2,738	2,162
Current Ratio	0.76	1.06	1.09	1.02	1.05	1.23	1.08	0.95	0.95	0.82
% Long Term Debt of Capitalization	13.60	11.50	11.50	12.90	14.60	5.60	6.70	16.50	5.70	19.50
% Net Income of Revenue	18.00	16.40	11.90	0.70	5.50	19.20	0.70	8.40	3.40	3.80
% Return on Assets	5.18	4.73	3.77	1.20	0.42	0.47	0.67	1.27	1.43	0.90
% Return on Equity	12.40	10.30	7.00	0.40	2.90	10.80	0.50	8.50	4.00	5.20

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Sub-Industry Outlook

CFRA maintains a neutral outlook on the application software sub-industry, as the SaaS space continues to face pressure on persistent AI-disruption fears. Sentiment and valuations of seat-based companies have been range-bound amid uncertainty in the medium to long term about the industry's ability to weather AI disruptions. Despite healthy near-term fundamentals, we believe the market is questioning the outlook for application software beyond 2026, significantly discounting the sub-industry on elevated demand risks as frontier model providers increasingly move up the technology stack with new product offerings. Therefore, we expect intense scrutiny of quarterly performance in upcoming earnings reports to continue, with investors having less patience with firms whose results fall short of expectations. We believe less clarity on the monetary policy outlook is also weighing on the sub-industry, as the potential for rate hikes may impact software budgets.

That said, fundamentals remain solid as demand indicators such as remaining performance obligations, annual recurring revenue (ARR), and sales reflect multiyear customer commitments and AI tailwinds. We highlight strong AI adoption, with AI agents gaining traction from customers augmenting and automating tasks with agentic tools. For example, WDAY supported 14 million hiring processes in Q1 FY 27 (Jan.) with its Recruiting Agent up 44% Y/Y – one of the most concrete indicators that agentic AI at WDAY is not in pilot mode, but instead embedded in core enterprise workflows at scale. Yet, although AI monetization is rising, it is still unable to accelerate the revenue line. In our view, investors are in search of a material sales bump attributed to AI, which is difficult to achieve with subscription-based businesses. However, SaaS firms are actively restructuring how they charge for AI capabilities, moving away from the traditional per-seat model toward credits and outcome-tied pricing. This is a positive development that more efficiently captures demand from agentic use, though it could take a

number of quarters to meaningfully lift revenue growth.

On the profitability front, operating margins are in good standing from AI-leveraged internal productivity gains. We forecast an operating margin of 43.5% in 2026, up from our prior forecast of 43% at the start of the year as software firms double down on their own AI tools to reap higher operating efficiencies. FCF and gross margin outlooks are more mixed due to infrastructure costs and product mix shifts. However, vendors are finding ways to manage higher investments through restructuring programs to optimize headcount and processes. Additionally, management teams have responded to sharp price declines with accelerated share buyback programs, insider buying, and pauses in executive stock selling, signaling confidence that shares are undervalued.

Looking ahead, while software firms reiterate that they maintain their competitive moats on domain expertise, data for context, and governance, it will take time to validate these claims and to restore investor confidence in the sub-industry. Therefore, investors are best positioned in high-quality names within application software that are seen as most resilient to AI disruptions.

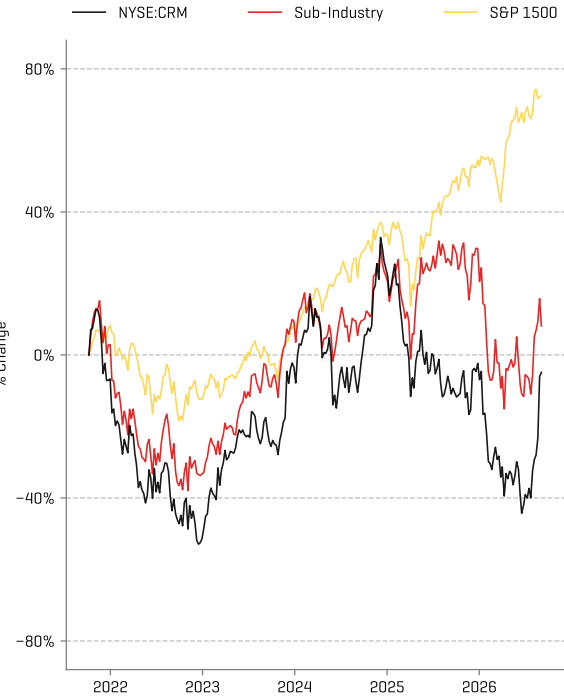
As of July 10, 2026, the S&P Composite 500 Software Index was down 17.1% year-to-date (YTD) versus a 10% YTD increase for the S&P Composite 500. In 2025, the S&P 500 Software Index was up 8.7% versus 17.5% growth for the S&P Composite 500.

/ Janice Quek

Industry Performance

GICS Sector: Information Technology
Sub-Industry: Application Software

Based on S&P 1500 Indexes
Five-Year market price performance through Sep 05, 2026



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Application Software Peer Group*: Application Software

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Salesforce, Inc.	CRM	NYSE	USD	264.43	217,626.0	38.4	3.1	16.0	273.61	0.7	19.4	48.7
Adobe Inc.	ADBE	NasdaqGS	USD	285.75	113,586.0	11.0	-18.0	13.0	387.17	N/A	63.0	25.8
Atlassian Corporation	TEAM	NasdaqGS	USD	194.68	49,281.0	76.5	14.1	33.0	N/A	N/A	-4.5	43.2
Autodesk, Inc.	ADSK	NasdaqGS	USD	237.52	49,643.0	0.1	-25.2	20.0	265.83	N/A	53.9	28.0
Cadence Design Systems, Inc.	CDNS	NasdaqGS	USD	304.88	83,960.0	-10.5	-12.2	38.0	208.17	N/A	23.2	26.1
Datadog, Inc.	DDOG	NasdaqGS	USD	214.76	77,115.0	-25.5	62.0	90.0	136.36	N/A	4.7	17.5
Intuit Inc.	INTU	NasdaqGS	USD	344.30	94,179.0	6.4	-48.5	14.0	432.98	1.6	23.6	23.5
SAP SE	SAP	NYSE	USD	217.03	248,863.0	11.0	-19.9	28.0	N/A	1.0	18.3	12.2
Strategy Inc	MSTR	NasdaqGS	USD	144.82	55,644.0	48.3	-56.2	NM	188.39	N/A	-63.6	12.8
Synopsys, Inc.	SNPS	NasdaqGS	USD	416.31	79,780.0	3.1	-29.7	30.0	421.02	N/A	3.7	21.5
Workday, Inc.	WDAY	NasdaqGS	USD	206.92	49,868.0	20.8	-11.4	20.0	212.74	N/A	16.0	19.4

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Salesforce, Inc.**Analyst Research Notes and other Company News****August 27, 2026**

12:26 AM ET... CFRA Maintains Buy Opinion on Shares of Salesforce Inc. [CRM 234.54****]:

We raise our target to \$265 from \$210, based on P/E of ~15x our CY 28 EPS view of \$17.50, below historical averages given SaaS uncertainty within an AI-induced landscape. We raise our FY 27 [Jan.] EPS to \$16.71 from \$14.09 and our FY 28 EPS to \$15.40 from \$15.18. We are encouraged by Agentforce's continued scaling, with ARR reaching \$1.5B [up from \$1.2B in Apr-Q] and Agentic Work Units growing 97% Q/Q, demonstrating tangible customer adoption beyond just bookings metrics. CRPO accelerated to \$33.5B [+14% constant currency], providing solid revenue visibility, and indicating the core business remains healthy. The Jul-Q also marked the announcement of Claudeforce — a jointly developed product with Anthropic that combines Claude's reasoning capabilities with Salesforce's data, application, and governance layers — which we view as a strategically significant development that materially strengthens CRM's competitive moat and expands its AI monetization surface while helping to mitigate SaaS apocalypse fears. / Angelo Zino, CFA

August 26, 2026

04:56 PM ET... CRM: Solid Jul-Q Results and Guidance; Bookings Impress [CRM 205.69****]:

CRM posted Jul-Q revenue of \$11.3B [+11% Y/Y], meeting expectations with organic growth of ~7%. Non-GAAP EPS of \$5.90 significantly beat the \$3.27 consensus, though \$2.6B in strategic investment gains inflated results; ex-gains EPS was ~\$3.37, a more representative measure. AI momentum accelerated with Agentforce ARR exceeding \$1.5B [+240% Y/Y] and combined AI/Data ARR reaching \$3.9B [+210% Y/Y], while CRPO growth accelerated to +14% CC from +13% prior quarter. Management raised FY27 revenue guidance to \$46.1-\$46.4B and EPS to \$16.67-\$16.71, well above \$14.14 consensus, incorporating pending Contentful/Fin acquisitions. We believe the strong NNAOV growth (strongest in four years) and Agentforce platform delivering 3.2B Agentic Work Units [+97% Q/Q] support management's confidence in H2 organic revenue reacceleration, though the capital structure transformation from the \$25B bond/ASR program is now largely complete with share count down 14.7% Y/Y. / Angelo Zino, CFA

May 28, 2026

09:34 AM ET... CFRA Maintains Buy Opinion on Shares of Salesforce Inc. [CRM 177.51****]:

We keep our 12-month target price at \$210, on P/E of 13.8x our CY 27 EPS view, well below historical/peer averages. We raise our FY 27 [Jan.] EPS to \$14.09 from \$13.19 and FY 28's to \$15.18 from \$14.77. While we note software headwinds [seat growth pressures, competitive dynamics, enterprise shift to AI Agents, and increasing competition from Anthropic/OpenAI's enterprise tools], we remain optimistic that CRM will successfully pivot to a more consumption-based, Agentic Enterprise model. Agentforce ARR has now reached \$1.2B [+205% Y/Y], and combined AI and Data ARR has hit \$3.4B [+200% Y/Y], as AI is moving from pilot to production at scale. The platform has delivered 3.8B Agentic Work Units [+111% Q/Q] and processed 28.6T tokens [+152% Q/Q], providing concrete evidence of customer adoption and value realization beyond just bookings. At less than 12x our CY 27 view, the current valuation is enticing, especially if CRM can manage to accelerate organic revenue growth later this year [not our base case though]. / Angelo Zino, CFA

May 27, 2026

05:06 PM ET... CRM: Mixed Results; Unable to Alleviate Software Concerns [CRM 179.08****]:

CRM posted Apr-Q revenue growth of 13% to \$11.1B, in line with expectations, with organic growth of ~9% excluding the \$444M Informatica contribution. Non-GAAP EPS of \$3.88 significantly exceeded consensus of \$3.13 [+50% Y/Y], driven by revenue growth, margin expansion, and buybacks. The quarter's most compelling narrative centers on Agentforce's continued scaling, with ARR reaching \$1.2B [+205% Y/Y] and 3.8B Agentic Work Units delivered [+111% Q/Q], demonstrating CRM's early leadership in enterprise AI. Management raised FY 27 revenue guidance to \$45.9B-\$46.2B and expressed confidence in organic acceleration during H2 driven by Sales, Service, Slack, Agentforce, and Data 360 growth. We believe the combined Agentforce and Data 360 ARR of \$3.4B [+200% Y/Y] underscores strong platform adoption, with over 50% of bookings from existing customer expansion. However, it's important to note that Agentforce remains less than 5% of total sales, indicating AI is still in early innings despite promising metrics. / Angelo Zino, CFA

April 09, 2026

02:41 PM ET... CFRA Downgrades Opinion on Shares of Salesforce.com to Buy from Strong Buy [CRM 169.31****]:

We cut our 12-month target to \$210 from \$240, on a lower revised P/E of 14x our CY 2027 EPS, well below historical amid a SaaS apocalypse that is driving investor fears. We are tempering our outlook following our downgrade of the application software space to neutral from positive earlier this year for well-known reasons [e.g., seat growth concerns, competitive pressures, enterprise shift to AI Agents]. In recent weeks, we have seen Anthropic/OpenAI get more aggressive releasing enterprise tools [Claude Managed Agents launched yesterday] that we think will only accelerate ahead of IPOs and as new compute capacity gets aggressively added. This is only likely to create more uncertainty about the tail end risk [beyond 2027], which is likely could constrain multiples. Still, we think CRM is better positioned than most SaaS providers and remain constructive given our view of its core business/stickier ecosystem, Agentic AI momentum, and greater ability to pivot to a more consumption/transactional based model. / Angelo Zino, CFA

March 11, 2026

03:59 PM ET... CFRA Maintains Strong Buy Opinion on Shares of Salesforce, Inc. [CRM 193.66****]:

CRM announces its largest-ever bond sale, a \$25B eight-part offering with maturities ranging from two to 40 years, marking the company's first U.S. investment-grade debt issuance since 2021. The senior unsecured notes will finance a share buyback program under CRM's previously announced \$50B repurchase authorization. While we view the capital return initiative positively for shareholders [equates to 14% of market cap], we think the lackluster response reflects Moody's debt downgrade to A2 from A1 while S&P changed its outlook to negative from positive but kept its A+ rating. Reports cite the offering drew lukewarm demand amid concerns over the buyback strategy and broader worries about the longer term impact that AI will have on the broader SaaS arena. We expect CRM to deploy the buyback proceeds strategically to enhance shareholder value [the full \$50B authorization represents nearly 30% of shares outstanding] while maintaining operational flexibility for AI investments and potential M&A opportunities. / Angelo Zino, CFA

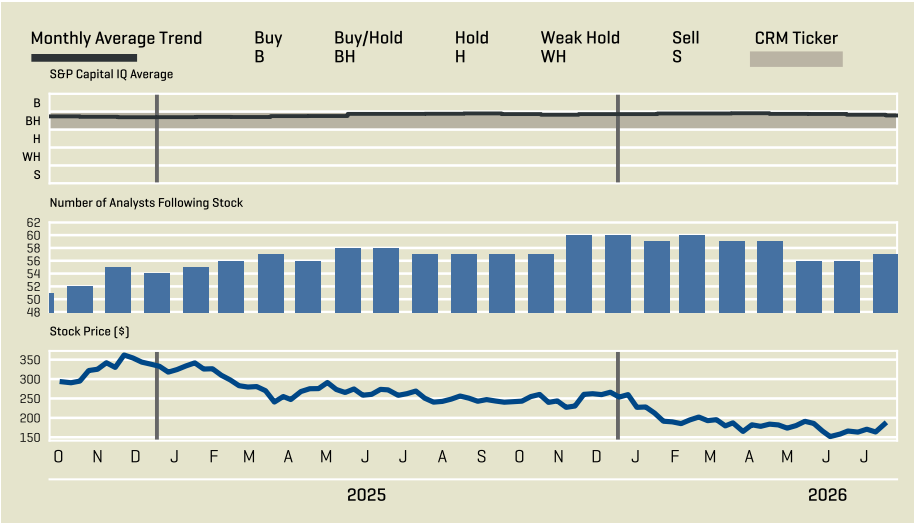
February 26, 2026

11:43 AM ET... CFRA Maintains a Strong Buy Opinion on Shares of Salesforce Inc. [CRM 194.50****]:

We cut our 12-month target price to \$240 from \$300 on lower revised P/E of about 16x our CY 27 EPS view, a deep discount to historical averages. After better-than-expected Jan-Q results, we raise our FY 27 EPS estimate to \$13.19 from \$12.90 and FY 28 to \$14.77 from \$14.55. We believe the market is overly focused on the deceleration in SF's legacy clouds while substantially underestimating the scale and velocity of its AI-driven Agentic Enterprise business. The current valuation at less than 14x reflects a high level of pessimism despite strong Agentforce growth and SF's attempt to support shares with a new \$50B buyback. SF guides for a re-acceleration in organic subscription and support revenue growth in the 2H, with confidence based on Net New Average Order Value [NNAOV] growth outpacing AOV growth for the last two quarters [expected to continue in FY 27]. The market is not pricing in this scenario [we prefer to wait and see], but if it occurs, it will help support a re-rating in shares. / Angelo Zino, CFA

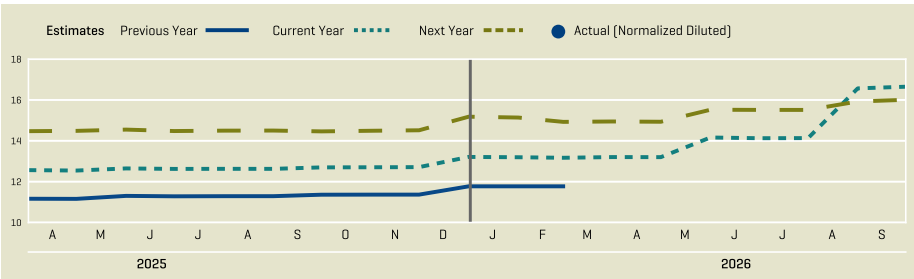
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Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	34	60	34	35
Buy/Hold	6	11	6	6
Hold	14	25	14	11
Weak hold	2	4	2	2
Sell	0	0	0	0
No Opinion	1	2	1	2
Total	57	100	57	56

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2028	16.01	18.12	14.66	54	16.52
2027	16.65	17.60	14.15	50	15.88
2028 vs. 2027	▼ -4%	▲ 3%	▲ 4%	▲ 8%	▲ 4%
Q3'28	3.95	4.47	3.68	31	66.90
Q3'27	3.45	3.85	3.35	42	76.64
Q3'28 vs. Q3'27	▲ 15%	▲ 16%	▲ 10%	▼ -26%	▼ -13%

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2027, analysts estimate that CRM will earn USD 16.65. For fiscal year 2028, analysts estimate that CRM's earnings per share will grow by -3.84% to USD 16.01.

Salesforce, Inc.**Glossary****STARS**

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:**★★★★★ 5-STARS (Strong Buy):**

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Salesforce, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of June 30, 2026

Ranking	North America	Europe	Asia	Global
Buy	44.8%	47.5%	50.5%	46.7%
Hold	42.1%	41.1%	44.5%	42.4%
Sell	13.1%	11.3%	5.0%	10.9%
Total	100.0%	100.0%	100.0%	100.0%

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